Trade War or Takeover? Canada's U.S. Dilemma

Gabe and Anderson

“Canada U.S. Trade Conflict Who, What, Where, When, and Why It Matters”

- **Who**

  canada and the United States

- **What**

  A trade conflict where tariffs and trade rules make goods more expensive between the two countries.

- **Where**

  Across the Canada–U.S. border, affecting industries like cars, oil, farming, and manufacturing.

- **When**

  Anytime trade policies or tariffs change between the two countries.

- **Why it matters**

  Canada depends heavily on U.S. trade, so conflicts can raise prices, reduce jobs, and hurt both economies.

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“$1.3 Trillion at Stake: Canada–U.S. Trade Conflict

Canada and the United States do about $1.3 trillion in trade every year. This shows how important their economic relationship is. If a trade conflict or tariffs happen, it can raise prices in both countries. Canadian businesses could lose sales, and American consumers could end up paying more. Even small changes in trade can have a big impact on both economies.

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Economic analysis

Core Concepts:

This connects to trade and dependence. Canada relies heavily on the United States to sell its goods.

Big Idea:

Trading with the U.S. helped Canada grow, but relying on one country is risky.

Data:

About 75% of Canada’s exports go to the U.S. Also, the U.S. economy is much larger, so if it adds tariffs or slows down, Canadian jobs and businesses can be affected

25% Tariff Shock: Who actually pays that tax?

- A 25% tariff is paid first by U.S. companies when importing goods from Canada. These companies often raise prices, so American consumers pay more.
- Canadian companies may lower prices to stay competitive, which reduces their profits
- Some Canadian businesses may face job cuts or lower sales
- Overall, both countries are affected because Canada depends heavily on trade with the United States.